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Project Management 2.1

The Business Case – Some Initial Considerations

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Learning Outcomes

- By the end of this session, you will be able to:
  - Define what a Business Case (BC) is
  - State why BC's are used
  - Discuss the differences between process and project
  - Identify the need for BC's in managing projects
  - Create a BC

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Definition

- A **business case** provides **justification** for undertaking a project, programme or portfolio. It evaluates the benefit, cost and risk of alternative options and provides a rationale for the preferred solution. (APM)

How do we assess project needs?

- This is a different activity than assessing the needs for the project outcomes
- This process assures that there are adequate project resources available to the project team
  - This includes many key project elements
    - Human Resources
    - Finance
    - Time
    - Physical resources
    - Information needs.

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All about the benefits

- In order to get benefits, we have to assess the needs for the outcome as well
- **These areas are integrally connected, not separate from each other**
- This means that all resources have to be identified, and a reasonable tolerance built in to the project resources to account for the unexpected. Consider the risks!!

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In the beginning

- The first step in carrying out **needs** assessment
- There is a need to gather information about what is actually needed
- Consult with employees whose expertise will be critical to the project
- What technology, tools or other resources will be needed to carry out the tasks required.
- Important to seek the opinions of end users

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Next important steps

- The second step is to identify the problem to be addressed, and what benefits you seek to gain by doing the project
- Prioritise the key activities within the process that need to be carried out
  - Risk management may be considered as part of this process
- Identifying potential risks and issues at the outset, and develop appropriate response strategies.

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And then…

- Establish what solutions may be required if any unexpected situations arise.
- It may be necessary to assess different solutions or strategies by which the problems being addressed may be resolved
  - If there is more than one option, it is important to use a scoring system, or some method that can help the organisation assess which solution would be most appropriate
  - This will take into consideration any other project or organisational constraints.

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Finally…

- Gaining consensus on the preferred option is then considered to be a critical task
- Agreeing on the final solution project with senior management and key stakeholders involved in the project
  - They will need to be informed of what is needed and they must agree to the allocation of finances and resources outlined in the needs assessment.
  - They need to agree to this within reasonable tolerances – clarity is **critical.**

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To recap

- Gathering information
- Identifying issues, risks and response
- Informing stakeholders of what is required
- Making sure that key decision makers sign off on the commitment of resources.

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Task

- Watch the following YouTube video and think about the people in your organisation, where do they fit? You will need this for L2.2.
- https://www.youtube.com/watch?v=S4V2FlNR_h4